

And then came the final blow in the form of a nasty surprise on the currency front. During the bull market of 2007, the rupee had been steadily firming up against the dollar, and it was widely expected that the trend would continue. But as India's economic fundamentals weakened from 2011, the rupee started to weaken against the dollar, and fell by more than 20 per cent from the level seen in 2007. This spelt more trouble for the companies, as they now needed more rupees to repay the dollars.

Of course, as a desperate measure, the companies could choose to default on their obligation. But that would mean never again being able to raise capital in the international market.

Some companies offered to buy back the bonds from the holders. The deal suited the companies because the price of the bonds had fallen sharply on concerns about their repaying capacity.

Other companies tried to negotiate with the bondholders to restructure the terms of the bonds, trying to get them to settle for a lower interest rate while offering to lower the conversion price of the stock to a level not too far from the current market price.

A few companies that were struggling to convince their investors to restructure the terms of the bonds tried to play the old game of manipulating the stock price. The promoter of a mid-cap telecom firm, which had defaulted on its FCCB, took the help of a market operator to pull up the stock price so that its bondholders would agree to a revised deal.

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By the end of 2011, a series of bad bets had left me shaken. It would be a while before I regained my confidence. I had reduced the size of my trades the last couple of months, but that was not helping much. Perhaps I was being a bit overcritical of myself. It was a tough year for almost everybody in the market, and few had made profits worth mentioning. But I suspected I was beginning to suffer a burnout. One way of fixing it would be to take a break from the market and not trade at least for a month, however strong the temptation. I decided to indulge in the small pleasures of life I had denied myself for so long and become a dispassionate observer of the market when there was time to spare. A month-long voluntary exile from the market, if you may call it that, might rejuvenate me. I was not certain if this self-medication would solve my problem, but then I had nothing to lose.